

So let's assume that you make some necessary modifications to your trend model. You add methodology for investment universe inclusion, which of course needs to deal with historical realism in terms of what might have been available and reasonable at any given time in the past, for your backtests to make sense. Then you probably remove the short side, not to get killed every time the markets turn sour. Next, you'll need a ranking methodology to pick the best trends, based on your criteria. Perhaps some sort of trend strength indicator that you come up with. And let's not forget a portfolio allocation algorithm, to decide how you size your positions. As you're likely limited by a maximum of 100% long exposure, you need to figure out how to best deploy that, and how much to allocate to each position. Perhaps even limitations per sector or geographical area might be needed.

And now, after you have done all of this, you might actually have a pretty good trading model. But it's not a trend-following model. It's probably a momentum model.

There is nothing wrong with a momentum model, and, in fact, I've written a whole separate book on the topic (Clenow 2015). But the construction of individual stock-picking strategies requires so much care, unique to this particular sector, that it would simply be a misnomer to bundle it up with something like trend following. What you will get in the end is a model which piles up beta when beta is good. It will be highly dependent on the health of the equity markets. You will see all your big profits during bull markets, and you will hopefully have some sort of defence mechanism in place to limit your losses during bear markets. In the end, it's more of an aggressive relative approach, rather than an absolute return approach. And, no, I would not recommend hedging out the market with futures, but feel free to try a backtest.

So, in the end, the answer is this. No, trend following does not work on stocks, but there are some related types of strategies, such as momentum, which work just fine. But it's not trend following.

■ What about ETFs?

Another common question I've heard many times over the years is about exchange traded funds, or ETFs. If you accepted my view that trend following, as it is generally understood in the business, does not lend itself well to stocks, then you might reasonably be curious about ETFs.